Communication Guidelines

1. Purpose

This document provides guidelines for all communications with defaulting borrowers, covering tone, channel selection, message content, and special situations like settlement and restructuring offers.

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2. Communication Tone by DPD Stage

DPD 1-30: Supportive and Courteous

- Address the borrower by name
- Assume the missed payment was an oversight
- Provide clear payment instructions and amount due
- Offer to help with any payment difficulties
- Sample tone: "Dear [Name], we noticed your EMI of Rs [amount] due on [date] has not been received. This may be an oversight. Please make the payment at your earliest convenience."

DPD 31-60: Professional and Firm

- Clearly state the overdue amount and duration
- Mention the consequences of continued default (late fees, credit score impact)
- Offer restructuring options if the borrower expresses financial difficulty
- Sample tone: "Dear [Name], your account is overdue by [X] days with an outstanding of Rs [amount]. Continued non-payment will affect your credit score and may attract additional charges. Please contact us to discuss resolution options."

DPD 61-90: Serious and Formal

- Reference specific policy sections and regulatory requirements
- Explicitly mention legal consequences
- Provide a clear deadline for resolution
- Present settlement options where eligible
- Sample tone: "Dear [Name], despite our previous communications, your account remains overdue by [X] days. We are obligated to escalate this matter. Please settle the outstanding amount of Rs [amount] within 15 days to avoid further action."

DPD 90+: Legal and Final

- Use formal legal language
- Reference specific acts and regulations
- Provide final deadlines with explicit consequences
- All communication to be reviewed by legal team
- Sample tone: "FINAL NOTICE: Your loan account [number] with outstanding of Rs [amount] is classified as Non-Performing. Legal proceedings will be initiated if payment is not received within 15 days of this notice."

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3. Settlement and Restructuring Criteria

EMI Restructuring Eligibility

Borrowers may be offered EMI restructuring if:
- They demonstrate genuine financial hardship (job loss, medical emergency, business downturn)
- They have made at least 6 EMI payments before default
- Current DPD is between 31 and 90 days
- They can provide documentation of financial difficulty
- Restructuring options include: tenure extension, reduced EMI, moratorium period (up to 3 months)

One Time Settlement (OTS) Eligibility

OTS Discount Schedule:
- DPD 61-90: Up to 10% discount on total outstanding (principal + interest + charges)
- DPD 91-180: Up to 20% discount on total outstanding
- DPD 181-365: Up to 30% discount on total outstanding
- DPD 365+: Up to 40% discount on total outstanding (requires Head of Collections approval)

OTS Conditions:
- Settlement amount must be paid in lump sum or maximum 3 installments within 90 days
- Borrower must sign a full and final settlement agreement
- No further claims can be made by either party after settlement
- Credit bureau reporting will be updated to "Settled" (not "Closed")

Settlement Authority Matrix

- Up to Rs 5,00,000 outstanding: Team Lead can approve
- Rs 5,00,000 to Rs 25,00,000: Regional Manager approval required
- Rs 25,00,000 to Rs 1,00,00,000: Head of Collections approval required
- Above Rs 1,00,00,000: Board-level approval required

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4. Channel Selection Guidelines

SMS

- Use for: Payment reminders (DPD 1-30), payment confirmation, EMI due alerts
- Frequency: Maximum 2 SMS per week
- Timing: Between 9 AM and 7 PM only
- Content: Brief, include amount and payment link

Email

- Use for: Detailed communication, demand notices, restructuring offers, settlement proposals
- Frequency: Maximum 3 emails per week
- Include: Full account details, payment options, contact information
- Attach: Relevant documents (account statement, demand notice PDF)

Phone Call

- Use for: DPD 15+ accounts, follow-up on payment promises, restructuring discussions

- Frequency: Maximum 1 call per day, 3 calls per week
- Timing: Between 8 AM and 7 PM only (as per RBI guidelines)
- Duration: Keep under 5 minutes unless borrower is engaged in resolution discussion
- Recording: All calls must be recorded

Physical Letter / Registered Post

- Use for: Demand notices (DPD 45+), legal notices (DPD 80+), final notices (DPD 91+)
- Must include: Full account details, amount due, deadline, consequences, grievance contact
- Registered post for all legal and final notices

Field Visit

- Use for: DPD 60+ accounts, high-value accounts, untraceable borrowers
- Must: Carry proper identification and authorization letter
- Must: Maintain dignified and professional conduct
- Must: File detailed visit report within 24 hours
- Must Not: Visit before 8 AM or after 7 PM
- Must Not: Use force, threats, or any form of intimidation

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5. Prohibited Communications

The following are strictly prohibited in all borrower communications:
- Threatening language or intimidation of any kind
- Contacting borrower's family, friends, or employer about the debt (unless they are guarantors)
- Sending messages that could be embarrassing if seen by others
- Using abusive, aggressive, or discriminatory language
- Disclosing the borrower's default status to unauthorized third parties
- Making false claims about legal proceedings or consequences
- Calling outside permitted hours (before 8 AM or after 7 PM)
- Excessive contact (more than 3 calls per day or 5 contacts per day across all channels)